

Fearnleys Dry Bulk Weekly

Aug 13, 2025



Capesize/Newcastlemax

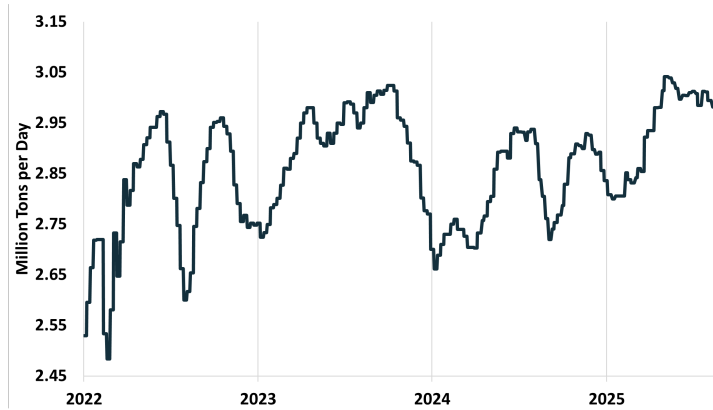
Last week, we wrote: *Daily imported iron ore consumption in China remains high, at approximately 3 million tons per day, and the share of profitable steel mills in China continues to increase. Iron ore consumption is therefore likely to remain at current levels for at least the next month (the bottom left chart shows the correlation between hot metal output and the percentage of profitable steel mills). The BCI5TC has averaged about 21,000 USD pd through the period daily consumption has been around 3 million tons (May onwards).*

Looking beyond August, the narrowing spread between the 1st and 3rd months iron ore futures warns that market momentum might falter. The top right chart displays that there is a relationship between higher or lower spread and Capesize market direction. The spread often leads, usually by around 4 months.

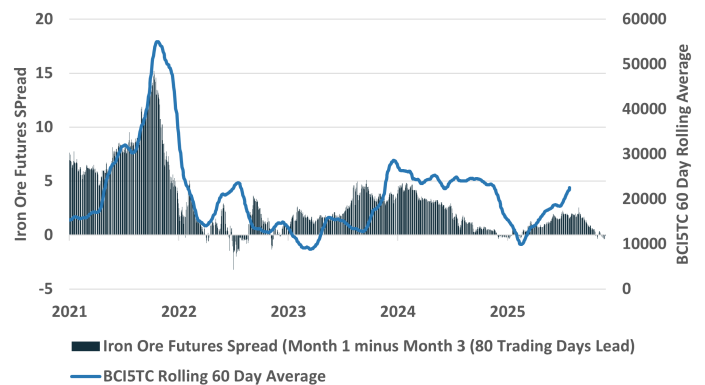
However, Bauxite shipment volumes are likely to increase after August, so that could counter-act some of the possible weakness in iron ore demand.

Since last week, the share of profitable steel mills in China has increased further, suggesting low risk of a significant drop in iron ore consumption in the coming weeks. However, the iron ore futures curve still warns of fading momentum in Q4.

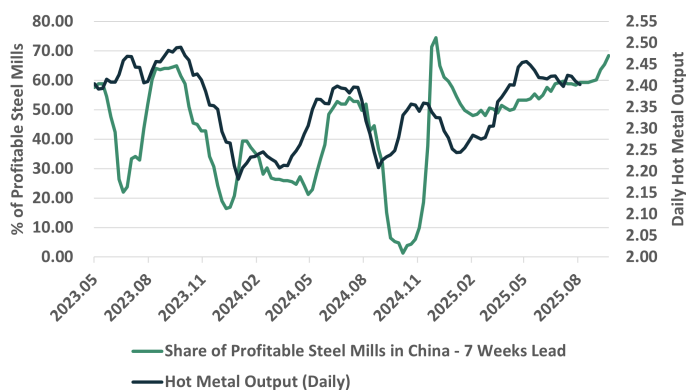
China Daily Imported Iron Ore Consumption



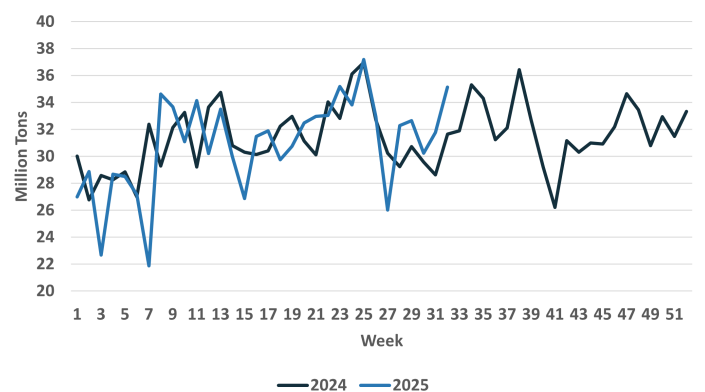
Iron Ore Futures Spread, 1st Month Minus 3rd Month (4 Months Lead) vs BCI5TC 60 Days Rolling Average



China - Share of Steel Mills that are Profitable, 7 weeks lead, vs Daily Hot Metal Output



Capesize/Newcastlemax Total Loadings, 2024 vs 2025





Panamax/Kamsarmax

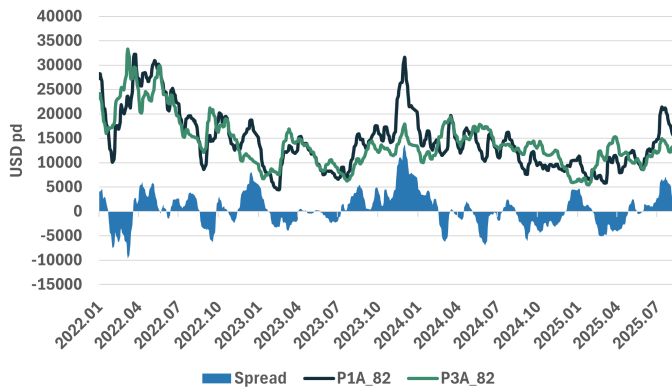
Last week, we wrote:

The spread between the Atlantic and Pacific remains high, so the Atlantic is likely to correct further (top left chart). Coal demand has been very strong through the summer, with loadings in 4 of the last 5 weeks a seasonal record. The monsoon in India and cooling temperatures in Asia are the two main factors pointing to faltering momentum going forward.

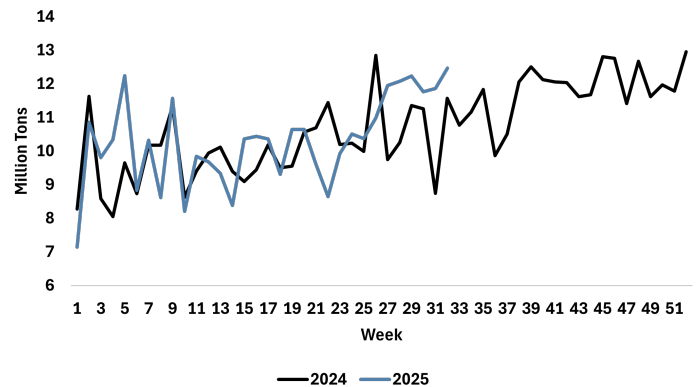
Otherwise, congestion in ECSAM remains relatively high, and although the seasonal peak in shipment volumes is likely past, activity could remain higher than usual as Trump's unpredictable trade policies raise demand for forward coverage out of that region. The flipside of that is that the US grain season could be less active than usual.

Vessels heading to Indonesia have continued to rise in the last weeks (bottom left chart), showing that coal demand in Asia remains strong despite the monsoon in India causing lower activity there. Grain volumes out of ECSAM continues to fall, in line with usual seasonal developments. For the upcoming US grains season, Soybean export sales to China are much lower than last year, although expectations for corn exports remains high.

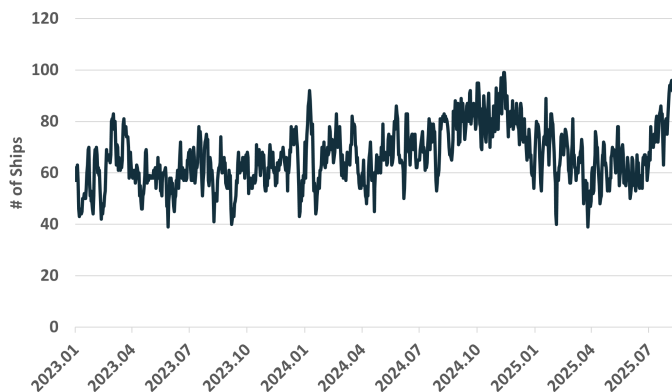
Panamax Atlantic vs Pacific Index



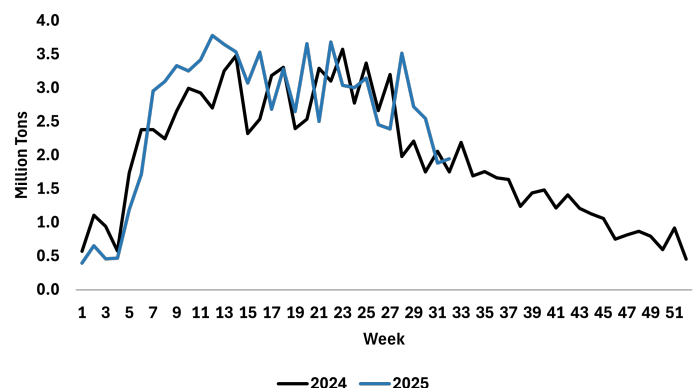
Panamax/Kamsarmax Coal Loadings, 2024 vs 2025



Panamax / Kamsarmax Heading to Indonesia



Panamax / Kamsarmax Brazil Soybeans Loadings 24 vs 25





Supramax/Ultramax

Last week, we wrote:

Total shipment volumes in July ended at all-time highs. The month marked a dramatic change from what the first six months of the year brought, as year-on-year volume growth averaged -2.1% through that period, whereas July shipments ended 11% higher than in July last year. The month-on-month increase in shipment volume growth was the highest in at least the last ten years.

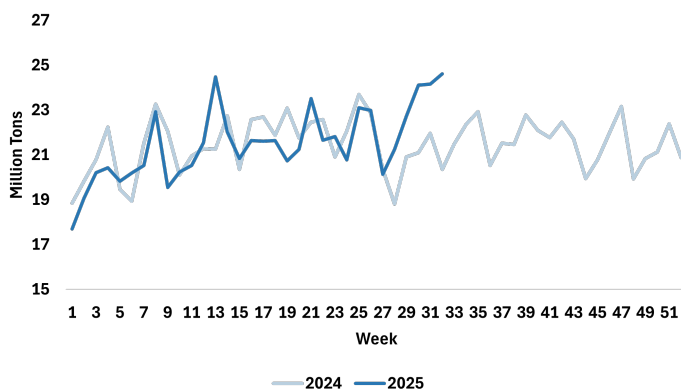
PMI reports for July were released this week, and it is apparent from those reports that front-running Trump's tariffs has been a major driver of global manufacturing activity in the last months.

The problem with "front-running" is that there will be a negative counter-effect to it at a later stage...

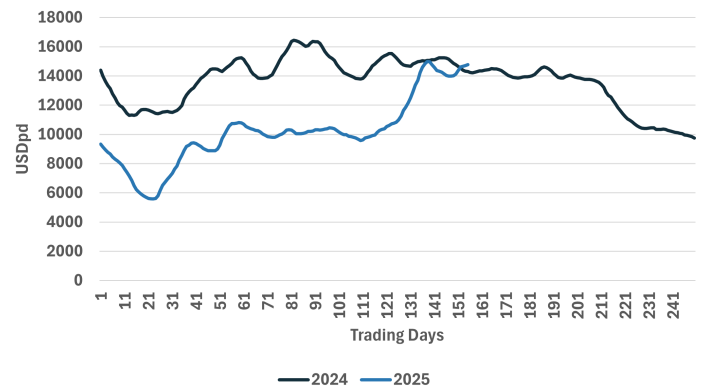
However, the high shipment volumes in July ensure some tightness will remain in the near term as it takes time for vessels to complete voyages. Further, it is hard to say how long front-running will continue before it is exhausted.

Market strength remains, although going much higher than this could be hard, as a Supramax 58 index spread over the Handysize 38 index of 2.000 USD pd or more usually means the ceiling is reached (bottom left chart). Further, the spread between the Atlantic and Pacific is also quite high, and the spread between Ultramaxs and Kamsarmaxes in the Atlantic have also widened considerably in the last weeks.

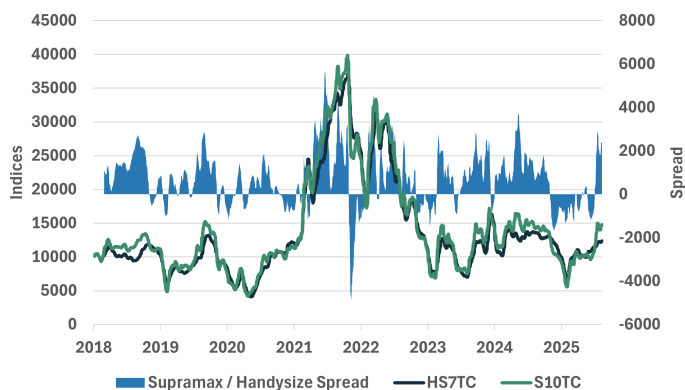
Supramax Ultramax Weekly Total Loadings 2024 vs 2025



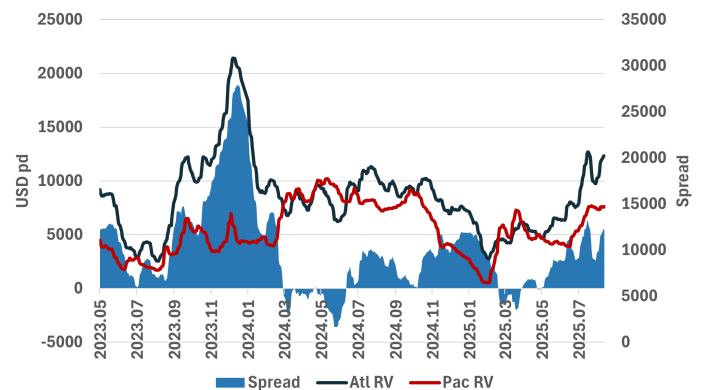
Ultramax Index 2024 vs 2025



Supramax58 Index vs Handysize38 Index Spread



Ultramax Atlantic vs Pacific Earnings





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